

EXECUTIVE SUMMARY

A. Introduction

The City of Manila was founded on June 24, 1571, as a municipal government. It became the first chartered City by virtue of the Philippine Commission Act 183 on July 31, 1901, and gained autonomy with the passage of Republic Act (RA) No. 409 or the “Revised Charter of the City of Manila” on June 18, 1949.

The personnel complement of the City in Calendar Year (CY) 2022 totaled 19,178 composed of the following:

	Executive Office	City Council	Total
Elected	2	38	40
Permanent	8,562	125	8,687
Co-Terminus	35	466	501
Temporary/Casual	75	-	75
Consultant	308	9	317
Contractual	0	5	5
Job Order	7,044	1,195	8,239
Medical Residents	140	-	140
Other Professionals	1,174	-	1,174
Total	17,340	1,838	19,178

B. Financial Highlights

Particulars	2022	2021	Increase/ (Decrease)
Assets	P73,694,401,449.64	P66,405,910,427.97	P7,288,491,021.67
Liabilities	26,765,129,719.87	21,960,624,079.69	4,804,505,640.18
Equity	46,929,271,729.77	44,445,286,348.28	2,483,985,381.49
Income	19,691,552,221.49	27,137,919,982.94	(7,446,367,761.45)
Expenses	16,047,340,904.58	22,185,034,763.27	(6,137,693,858.69)
Transfers, Assistance and Subsidy From	28,178,905.45	-	28,178,905.45
Transfers, Assistance and Subsidy to	1,188,404,840.87	580,947,870.28	607,456,970.59

The total appropriations for the General Fund (GF) and Special Education Fund (SEF) of the City for CY 2022 totaled P26,040,437,283.55. The obligations charged against these appropriations amounted to P20,506,127,301.88:

Particulars	2022	2021	Increase/ (Decrease)
Appropriations	P26,040,437,283.55	P36,456,216,237.00	(P10,415,778,953.45)
Obligations	20,506,127,301.88	20,663,633,285.15	(157,505,983.27)

The total income of P19,691,552,221.49 collected during the year was sourced from the following:

Particulars	GF	SEF	Total
Tax Revenue	P9,864,178,763.12	P3,182,283,777.69	P13,046,462,540.81
Share from Internal Revenue Collections	4,602,952,487.00	-	4,602,952,487.00
Service and Business Income	1,626,253,690.05	11,222,392.74	1,637,476,082.79
Shares, Grants and Donations	217,442,602.39	-	217,442,602.39
Gain on Sale of Assets	4,921,062.93	-	4,921,062.93
Miscellaneous Income	182,297,445.57	-	182,297,445.57
Total	P16,498,046,051.06	P3,193,506,170.43	P19,691,552,221.49

C. Operational Highlights

The City reported, among others, the following significant accomplishments in CY 2022:

- a. Coronavirus Disease 2019 (COVID-19) Response:
 - Continued mass vaccination at various vaccination centers within the City;
 - Purchased 20,000 additional tablets for Molnupiravir for Mild COVID-19 Patients
 - Purchased 2,500 boxes of Bexovid, a COVID-19 medicinal drug to mild to moderate cases; and
 - Purchased 30,000 doses of Pfizer vaccines for 5-11 years.
- b. Opening of New Physical Therapy and Rehabilitation Medicine Center at Sta. Ana Hospital;
- c. Conducted the Nilad Tree-Planting Activity at Manila Zoo and Intramuros;
- d. Granted P100,000.00 cash gift for three centenarians;
- e. Kalinga sa Manila Project to six districts of Manila;
- f. Distribution of monetary assistance to families affected by multiple fire incidents;
- g. Distribution of Christmas food boxes to six districts of Manila;
- h. Construction/repair/rehabilitation/improvement/upgrading/installation of various structures and facilities:
 - Completion of the following major infrastructure projects:
 1. Redevelopment of the Manila Zoo;
 2. Construction of Tondominium 1 and 2;
 3. Construction of Binondominium 2;
 4. Construction of 10-storey Bagong Ospital ng Maynila and Parking Building;
 5. Construction of four-storey, 24 classrooms building at A. Maceda High School;
 6. Construction of four-storey RC Building I at Bg. Barangay Elementary School;
 7. Installations of Solar Studs (Phase 2);
 8. Arroceros Urban Forest Park Redevelopment; and
 9. Construction of three-storey Community Hospital at BASECO Compound.
 - Ongoing construction of the following projects:
 1. Installation of traffic signal lanterns at various street intersections in the City;
 2. Construction of Dr. Albert Elementary School;

3. Construction of Rosauro Almario Elementary School;
4. Construction of Manila Science High School;
5. Construction of San Sebastian Residences;
6. Construction of Pedro Gil Residences;
7. Construction of San Lazaro Residences;
8. Sewerage Plant (Waste Water Treatment Plant);
9. Construction of the Administrative Building at Manila Boystown Complex;
10. Construction of 10-storey, 232 classrooms school building at Ramon Magsaysay High School; and
11. Installation of solar road studs (Phase 3).

In the same year, the City received the following awards/recognitions:

- CY 2022 Digital Governance Awards:
 1. Government Internal Operations (G2G) Award - City Level
 2. 1st Place: Digital Cold Chain Principle: Dickson-One Software) Ensuring Vaccine Safety: The City of Manila/Sta. Ana Hospital Response
 3. Business Empowerment (G2B) Award - City Level
 4. 2nd Place: Go! BPLS
- CY 2022 Seal of Good Financial Housekeeping
- Excellence in Digital Public Service awarded by GCash in the Digital Excellence Awards
- 17th Association of Tourism Officers in the Philippines Pearl Awards
 1. 1st runner up for Best Tourism Month/Week Celebration (City Level) and for Best Program for Culture and Arts (City Level)
 2. 2nd runner up for Best Tourism Promotion - Publication (City Level)
 3. Best Tourism Promotion Video (City Level)

D. Scope and Objectives of Audit

The audit covered the accounts and operations of the City of Manila for the period January 1 to December 31, 2022. The audit aimed to: (a) lend credence to Management's assertions on the financial statements; (b) recommend agency improvement opportunities; (c) determine compliance with existing laws, rules and regulations; and (d) determine the extent of implementation of prior years' audit recommendations.

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the fairness of presentation of the financial statements due to the deficiencies noted in the audit that materially affected the balances/totals of certain accounts, which are discussed in detail in Part II of the report and summarized as follows:

1. The inventory accounts were overstated by a net amount of P32.595 million due to accounting errors in record keeping, non-maintenance of inventory records and unreconciled records of the Office of the City Accountant (OCAT) and City General Services Office (CGSO) contrary to Paragraph 27 of the International Public Sector

Accounting Standards 1. This condition weighed on the fairness of the presentation of the inventories in the Financial Statement.

We recommended and Management agreed that:

- a. OCAT correct the accounting errors in record-keeping; and
 - b. OCAT and City Government Services Office: (a) maintain the prescribed inventory records and information that will enable effective and efficient tracking of the movements of inventories; and (b) reconcile their inventory records periodically.
2. The accuracy and completeness of the Real Property Tax (RPT) and Special Education Tax (SET) Receivables and related Deferred Credit accounts as at year end of P11.388 billion, P5.941 billion and P4.791 billion, respectively, could not be established because access to the application system tracking these accounts was not granted to the Audit Team contrary to COA Circular No. 2020-010 dated December 2, 2020.

We recommended and Management agreed to provide the Audit Team access to the City Treasurer's Office application system that tracks the RPT and SET accounts.

The aforementioned observations together with the corresponding recommendations were discussed with Management officials concerned during the Exit Conference on April 20, 2023. Management views and comments were incorporated in the report, where appropriate.

F. Summary of Suspensions, Disallowances and Charges as of Year-end

The audit suspensions, disallowances and charges amounting to P42.538 million, P67.200 million and P33.047 million, respectively, remained unsettled by the concerned officers/employees and third parties determined to be liable thereto due to the inability of the Management to fully enforce settlement of the same as required under Section 7.1.1 of COA Circular No. 2009-006 dated September 15, 2009.

G. Status of Implementation of Prior Years' Audit Recommendations

Of the 53 prior years' audit recommendations contained in the CYs 2017, 2018, 2019, 2020 and 2021 Annual Audit Reports, eight or 15.10 per cent were fully implemented, 27 or 50.94 per cent were partially implemented and 18 or 33.96 per cent were unimplemented.